Plastics

GLOBAL MONTHLY MARKET INSIGHT

August 2026

IN THIS REPORT

Key Takeaways

- **Production costs** remained elevated through July; early optimism following the US-Iran peace treaty gave way to renewed hostilities and Strait of Hormuz tensions by month-end.
- **Demand** was reportedly mixed according to the latest data. Stronger demand was reported in the EU, although sources noted that panic buying had largely abated. Export demand in Asia was also reportedly robust. However, players stated that domestic demand in the US was sluggish.
- Plastics **manufacturing** levels recovered slightly in the EU and China, with the later catering to higher export demand. In the US, levels remained steady against the backdrop of poor demand.
- China's plastic **exports** moved markedly higher in April and May due to increased demand from states such as Vietnam, Indonesia, and Brazil, with several countries looking to China for product to avoid Middle East conflict disruption.

Price Movements

Product	Expana Series	July Price	MOM%	YOY%
HDPE cont del DE	2049	€2,138/mt	-11.4%	+43.7%
LDPE cont del DE	2050	€2,613/mt	-10.6%	+37.7%
PET cont del DE	2052	€1,313/mt	-9.5%	+31.2%
PP cont del DE	2053	€2,008/mt	-11.9%	+47.2%
HDPE bulk cont ddp US	2081	USc 61/lb	-4.8%	+4.7%
LDPE bulk cont ddp US	2082	USc 97/lb	-6.8%	+0.1%
PET bulk cont ddp US	2089	USc 68/lb	-3.8%	+8.5%
PP bulk cont ddp US	2085	USc 71/lb	-2.8%	-2.7%
HDPE spot cfr CN	2001	$987/mt	-8.4%	+15.2%
LDPE spot cfr CN	2002	$1,188/mt	-5.9%	+9.9%
PET spot cfr CN	2004	$918/mt	-9.1%	+27.4%
PP spot cfr CN	2005	$1,112/mt	-9.6%	+14.1%

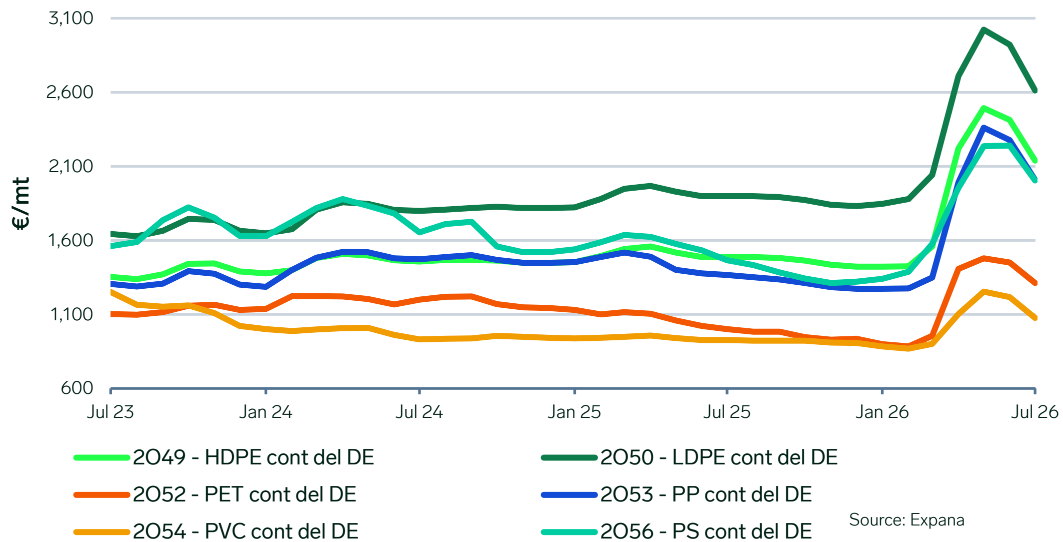
Market Sentiment

- Overall, according to sources, market sentiment remains 'mildly firm', due to the continued uncertainty surrounding the Middle East conflict, despite signs of price stabilization.
- According to market players, supply is set to remain ample, with the panic buying associated with the earlier stages of the Middle East conflict having largely abated.
- Production costs remain elevated versus pre-war levels, and renewed US-Iran hostilities in the second half of July have raised the risk of further cost pressure across the value chain.

Monthly Price Movements

Prices continued to decline throughout July against the backdrop of continued hostilities in the Middle East.

Europe Plastics Product Market Prices



Source: Expana

- Throughout July, plastic product prices in Europe continued to fall after reaching a peak in May 2026. The signing of an initial peace treaty alleviated supply concerns and lowered production costs.
- However, hostilities between the US and Iran resumed in July, again adding significant worry to the European plastics market, although prices continued to decline.

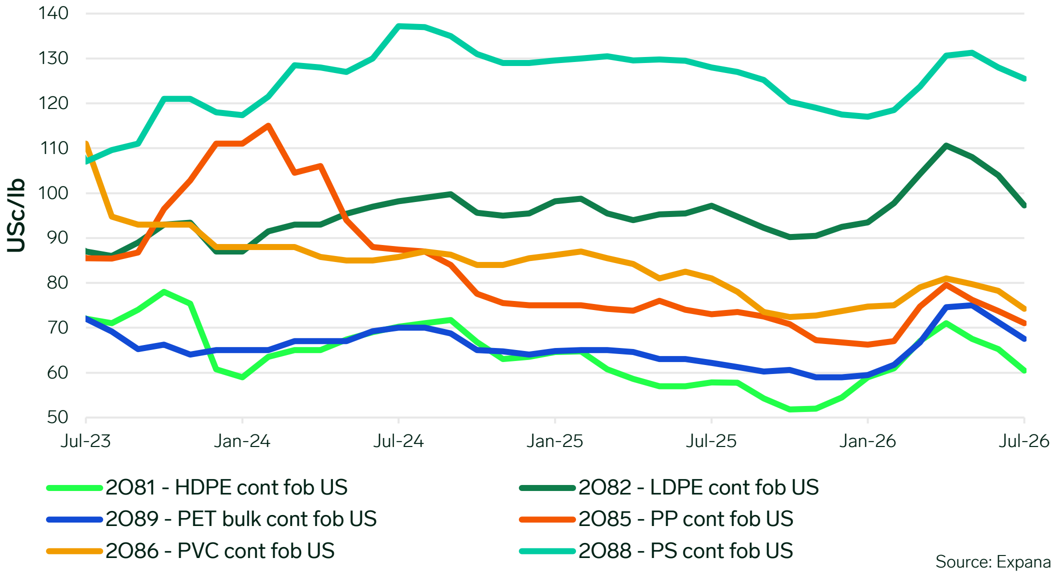
Market Sentiment

- Sentiment within the European plastics market is reportedly 'mildly firm' according to market sources, unchanged compared to the previous month.
- Although prices continue to move downwards, market players report persistent concerns about the volatility of the Middle East conflict due to the fast-changing nature of the diplomatic and military situation.
- However, players expect sentiment to weaken in the event of a long-term tangible peace deal, especially with continued increased manufacturing rates and stabilizing domestic demand.

Monthly Price Movements

The plastic market in the US continues to weaken off its April high.

US Plastics Product Market Prices



Source: Expana

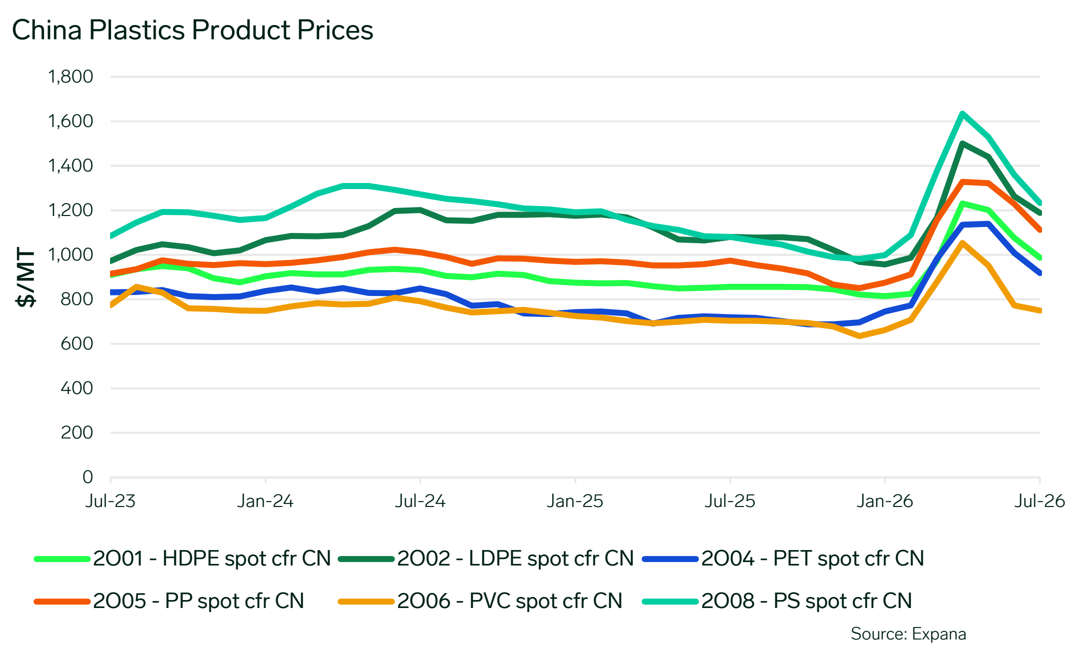
- Prices continued to fall throughout July, extending the recent trend after the price peaks in April and May 2026, as panic buying and higher production costs retreated.
- Throughout the month, market sources reported sluggish demand from buyers in the US, a trend that had dominated the market before the outbreak of the Middle East conflict.

Market Sentiment

- The sentiment for the US plastics market continued to be ‘mildly firm’ for July, unchanged from June. The resumption of the conflict between the US and Iran toward the latter half of the month has not impacted prices as much as other regions as supply remains ample amid tepid demand, according to sources.
- Consumer spending growth in the US remains steady, through unremarkable. Market participants were not hopeful for any change in the near-term, with many expecting low spending growth through the rest of the year.
- EPR packaging laws are placing increasing regulatory pressure to switch from plastic to other types of packaging in some US states. Sources say the laws monetarily incentivize producers to switch away from plastic packaging by charging lower levies on paper and aluminum packaging.

Monthly Price Movements

Product prices continued to decline, extending the recent trend.



- In July, product prices in China continued to decline, extending the trend that has been in progress since after the price peak in April 2026.
- According to sources, domestic demand remained weak, which has been evident in broader commodity markets in China. However, export demand was firm, especially from states in Asia that switched to China-origin product instead of Middle East-origin product.

Market Sentiment

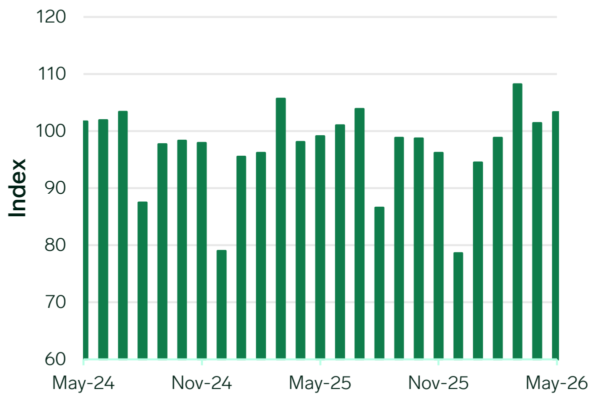
- Sentiment in China's plastics market has changed to 'steady' from 'mildly firm' in the previous month.
- Although the Middle East conflict continues to fuel uncertainty among market participants, players note that domestic demand is sluggish and that more stabilization is expected throughout August.
- Export demand remains strong, especially from other Asian states. However, sources noted the increase in plastic output in June and believe supply will be robust enough to meet domestic and export demand over the coming months.

EU

- Plastics manufacturing increased 1.9% MOM in May (latest data) in the EU. On an annualized basis, manufacturing levels rose by 4.2%.
- Manufacturing levels rose MOM, continuing to trend upwards throughout 2026. According to market sources, material availability is strong, with players reporting some additional capacity.

According to market sources, supply in the EU is ample.

EU Manufacture of Plastics Packing Goods (calendar adjusted, not seasonally adjusted, 2021=100)



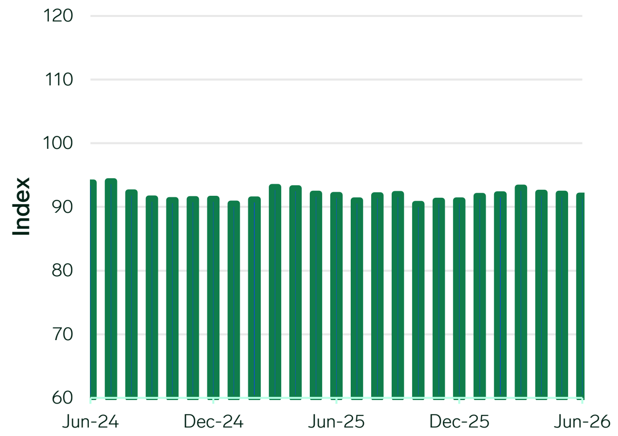
Source: Eurostat

US

- In the US, plastic manufacturing fell 0.3% MOM in June, down 0.1% YOY. Like previous months, manufacturing rates held steady.
- However, market sources anticipate a decline in production in the coming months due to high inventories and sluggish demand for plastic products.

Like in recent months, manufacturing levels remained steady.

US Plastics Product Manufacturing (seasonally adjusted, 2021=100)



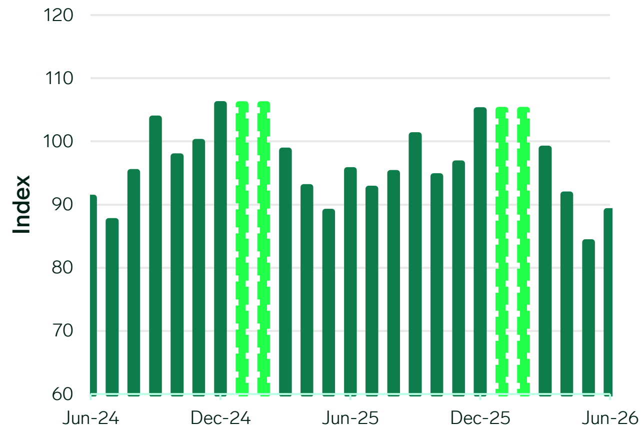
Source: Board of Governors of the Federal Reserve System (US)

China

- In June, the China Output of Plastics Products Index rose by 5.8% MOM, representing a 6.8% YOY decrease.
- The MOM increase came following some months of decline throughout 2026. Export demand remains strong, and manufacturers in China hiked output in response.

Output increased in China following months of decline throughout 2026.

China Output of Plastics Products (2021=100)*



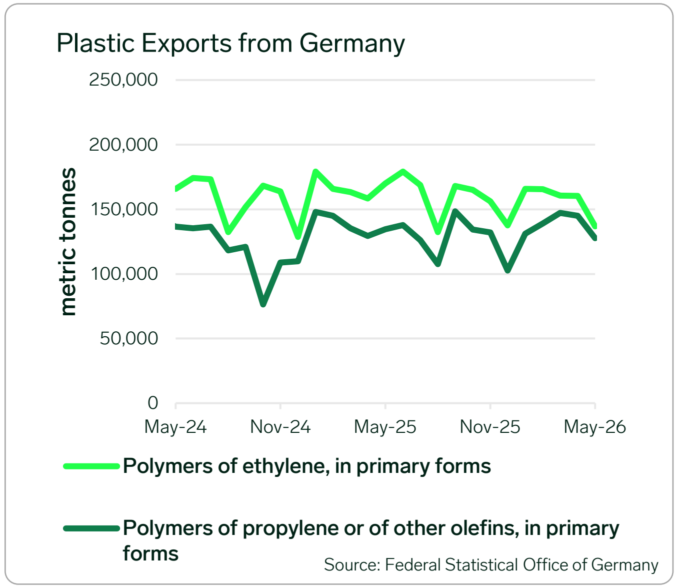
*January and February are auto-filled due to no published data owing to the Lunar New Year

Source: National Bureau of Statistics of China, Expana calculations

Germany

- In May (latest available data), there was a monthly decrease in total exports of ethylene and propylene polymers of 13.4% MOM, declining on an annualized basis by 13.2%.
- Ethylene polymers exports decreased by 14.7% MOM, representing an annualized decline of 19.6%, while exports of propylene polymers fell by 12.0% MOM, down 5.2% YOY. Italy and Poland were critically important destinations for German-origin polyethylene and polypropylene.

Exports contracted according to the latest data, with Italy and Poland remaining key trading partners.

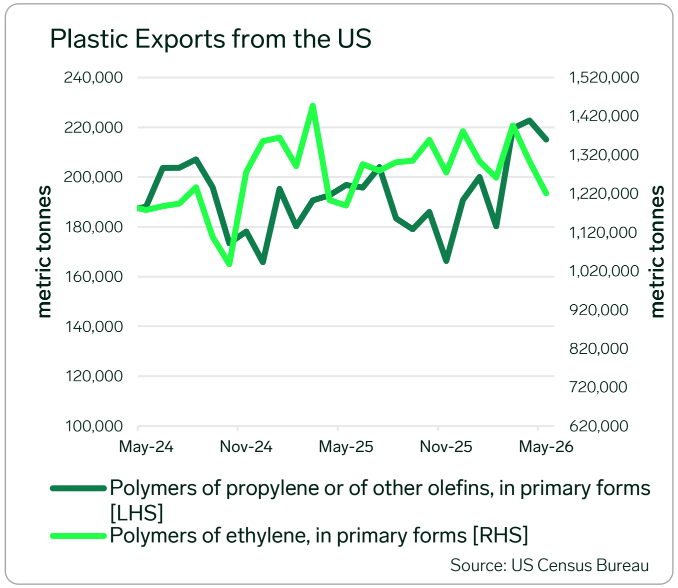


Source: Federal Statistical Office of Germany

US

- Total exports of ethylene and propylene polymers fell 5.9% MOM in May (latest data), representing a 3.6% YOY increase.
- Ethylene polymers exports decreased by 6.3% MOM to 1.22 million metric tons (mt), while exports of propylene polymers fell by 3.4% MOM to 215,054 mt.
- EU states continued to purchase plastics from the US to avoid the disruption caused by the Middle East conflict.

Exports fell according to the latest data but remained higher on an annualized basis.

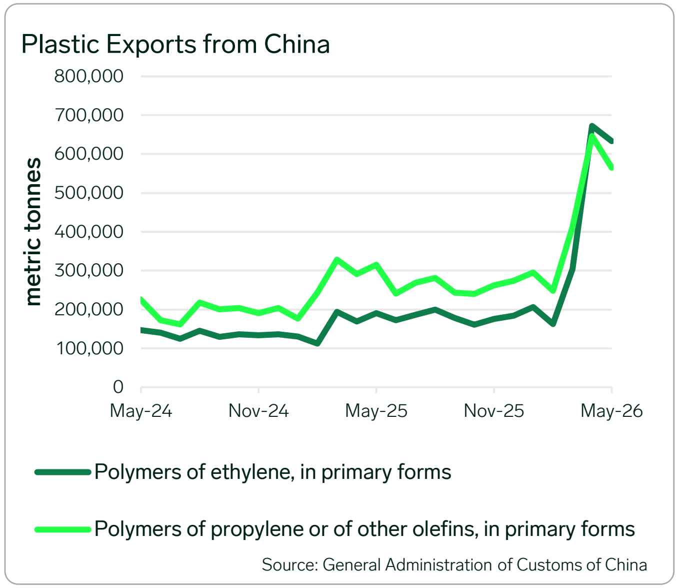


Source: US Census Bureau

China

- In May (latest available data), monthly total exports of ethylene and propylene polymers fell by 9.2% MOM, representing a 136.8% YOY increase.
- Ethylene polymers exports decreased by 5.9% MOM to 632,924 mt, while exports of propylene polymers declined by 12.6% MOM to 564,637 mt. Vietnam, Brazil and Indonesia were among several states importing notably higher volumes from China, replacing purchases from Gulf states due to conflict disruption.

Exports grew significantly as more states switched origins from Gulf states to China.



Source: General Administration of Customs of China

Crude Oil

- Crude oil prices were volatile through July 2026, driven by escalating US-Iran hostilities, attacks on Saudi oil infrastructure by Iran-backed militias in Iraq, and continued tightness in global oil supplies reflected in a 3.3-million-barrel draw in US crude inventories. The Strait of Hormuz remained the central flashpoint, with Iran rejecting Oman's proposal for shared control of the waterway and fresh US air strikes against Iran raising concerns over further disruptions to global energy supply routes, while the Bab al-Mandeb Strait, now a critical alternative export corridor for Saudi crude, also faces Houthi threats.

Ethylene

- Ethylene prices diverged somewhat in July, with US prices relatively steady and EU and Asian markets still on a downward trend. In the US oversupply and weak downstream demand continued to constrain pricing. Geopolitical developments, particularly the trajectory of Strait of Hormuz disruptions and their pass-through to naphtha costs, remain the dominant price driver, according to sources.

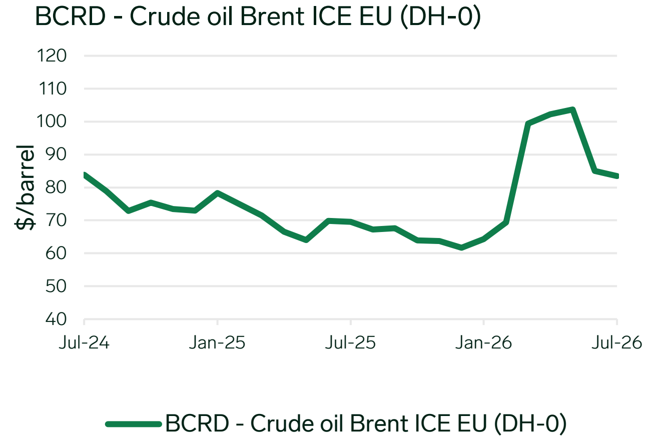
Propylene

- Global prices continued to soften outside the US, as demand for polypropylene plastics continued to weaken on oversupply concerns in Asia and the EU.

Paraxylene

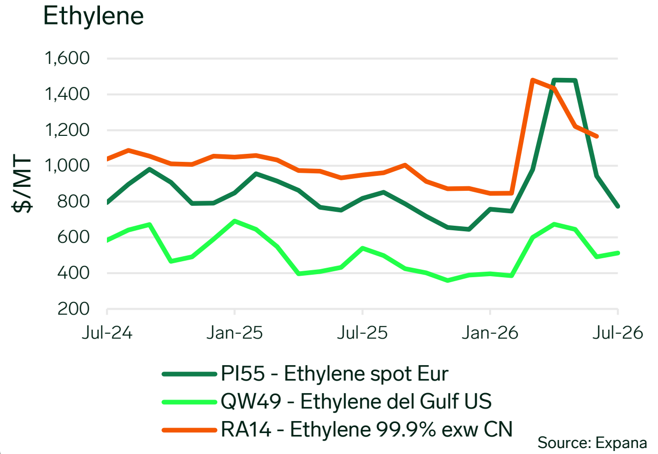
- Sources say demand for paraxylene is weakening in Asia due to weak demand for downstream products, but other regions remained impacted by disruptions due to the Iran-US conflict.

Prices stayed volatile in July amid escalating US-Iran hostilities.



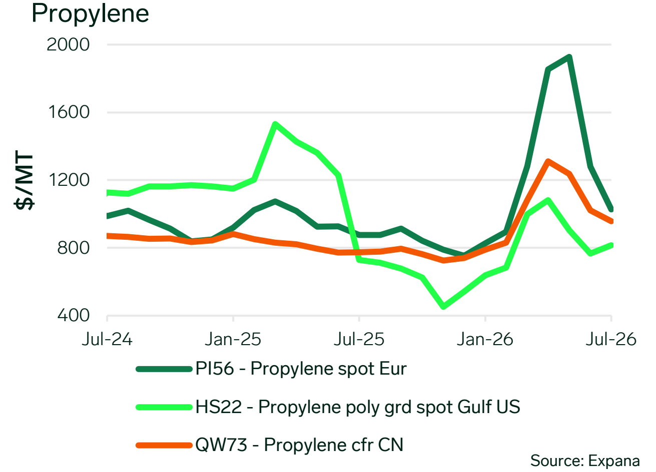
Source: Expana

Prices diverged in July — steady in the US, lower in EU and Asia.



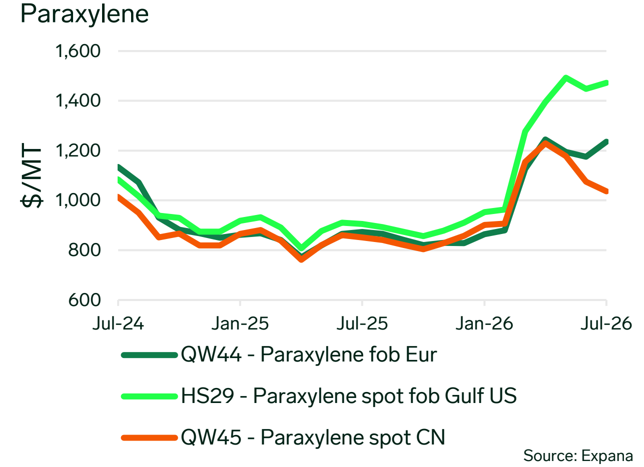
Source: Expana

Prices softened outside the US on oversupply in Asia and the EU.



Source: Expana

Demand weakened in Asia, while other regions felt Iran-US impacts.



Source: Expana

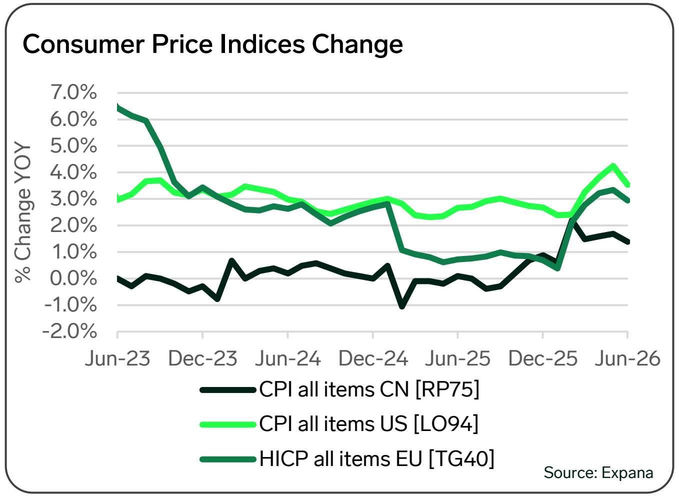
Macroeconomics

- In the US, annualized headline inflation decelerated to 3.5% in June 2026, down from 4.2% in May, the lowest result since March 2026. Energy commodity inflation was again the primary driver behind the headline figure, registering 27.1% YOY, while gasoline inflation was 26.7% YOY. In the Eurozone, inflation was 2.8% YOY in June, decelerating from 3.2% YOY in May. Energy inflation was 8.5% YOY, decelerating 1.8% MOM. In China, annualized headline inflation accelerated 1.0% in June 2026, down from 1.2% in May and falling short of market sources' expectations of 1.1%. Elevated energy costs have fueled sluggish domestic demand but show signs of easing, say market participants.

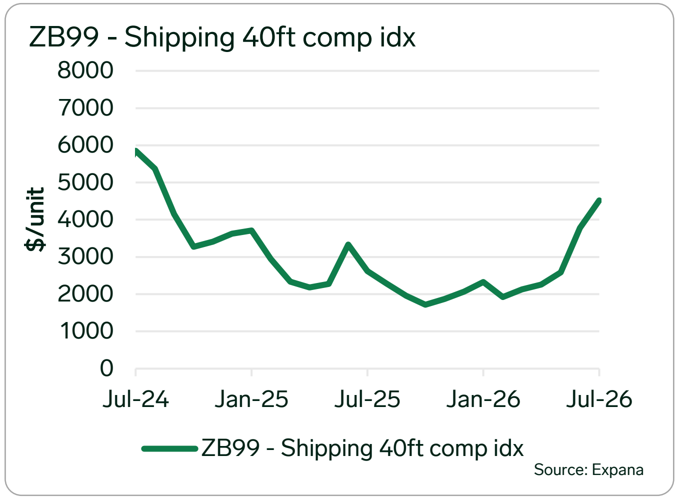
Logistics

- The Global Shipping 40-foot Container Composite Index decreased by 6.1% MOM at end-July, to $4,255/unit. Prices increased significantly in June and the start of July, as heavy frontloading initiated an earlier-than-expected start to peak season. However, demand started weakening later in the month, with market sources suggesting that frontloading is easing. While sources suggest that an increase in capacity, particularly to the US West Coast, likely contributed to an easing of rates, others note that carriers are now actively managing capacity in an effort to prevent further rate decreases. With tensions in the Gulf ongoing, oil prices have continued to fluctuate, and carriers are reportedly planning additional emergency fuel surcharges for August. In addition, market players suggest that additional US tariffs may be implemented later this year, a potential watch-out factor. Market sources expect rates to remain steady in the short term.

Headline inflation largely decelerated due to lower energy prices throughout June.



Demand started to soften after heavy frontloading drove a surge in freight rates.



Abbreviations / Acronyms / Methodology

Expana

August 2026

Abbreviations and Acronyms

MT	metric tonnes
PE	polyethylene
HDPE	high density polyethylene
LDPE	low density polyethylene
OPEC	Organization of Petroleum Exporting Countries
PET	polyethylene terephthalate
PP	polypropylene
PS	polystyrene
PVC	polyvinyl chloride

Date of next publication: The report is published on the last business day of the month; therefore, the next date of publication will be Friday, August 28.

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6TH COMPLIANT AUDIT

Market Sentiment Definitions:

Firm — Demand exceeds supply, prices moving higher.
Steady — Supplies and demand generally in good balance-prices unchanged.
Weak — Supplies plentiful for demand and prices moving lower.

Methodology, Feedback & Forward-Looking Statements:

Expana is committed to ensuring all published Expana Benchmark Prices are representative of market value, and in line with Expana's transparency principles, we encourage industry participants to reach out to the PRA Team. Any feedback and comments related to this document and the prices contained within are welcomed and should be directed to PRA@expanamarkets.com.

For details on the methodology used to assess the Expana Benchmark Prices, visit this link.

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